

to the biotech industry because, like the oil and gas industry in the 1980s and the textile industry in the 1960s, it was awash in capital, with wilting returns from new investments and larger, established pharmaceutical companies hungry for new treatments. The long lead-times for new drugs—biotechnology can take 12 to 15 years to bring to market—the high rates of failure in research trials, and the massive investment required to get from research to treatment meant that large pharmaceutical companies often found it less risky to buy new drugs than develop them internally.⁴¹ The market rapidly sold down the stocks of biotechs with failed drug candidates, and Icahn used that fear to front-run the pharmaceutical companies who were eager to find new opportunities as older drugs became subject to competition from generic brands. Explaining his strategy, Icahn told *Forbes*, “These companies usually have management that has overspent and not enough funds to complete what they started. There’s a suitor standing outside that can’t get in the door. We help push that door open.”⁴² Genzyme was no different.

AN ARCHETYPAL TARGET

Genzyme was a classical Icahn target: deeply undervalued; a business stumbling from crisis to crisis; shareholders unhappy with management; weak corporate governance; and in an industry in need of restructuring. In February 2010, Icahn announced that he was nominating four directors to Genzyme’s board.⁴³ In the announcement, Icahn laid out his plan and, as he had many times before, took the opportunity to highlight his success with ImClone:

Given that Genzyme’s management has performed so poorly in the past, our first task will be to attempt to help fix what is broken. We have heard from a number of shareholders that they have very little faith in the current board and believe that there should be a major shake-up in its composition.

Seeing the company as a new version of his ImClone successes, Icahn prepared himself to turn the company around before finding a buyer.

By the end of March 2010, he had picked up an additional 5.7 million shares, pushing his holding to 10.5 million shares purchased at an average price of \$54.94.⁴⁴ Genzyme now represented 17 percent of Icahn’s portfolio.⁴⁵ Genzyme, under pressure from Icahn, agreed to spend \$2 billion to buy back its shares.⁴⁶ The move produced the desired effect: the company’s stock spiked. Just as it looked like Genzyme might gain the advantage, the Allston Landing plant suffered a power outage, throwing the spotlight back on its manufacturing problems. The outage further limited the supplies of